Who Keeps the Aid? Targeting Aid to Control College Costs

Introduction

For decades, the U.S. federal and state governments have attempted to make college more affordable through grants, loans, and tuition freezes and caps. The largest is the Pell Grant, the federal government's main need-based grant for low-income students. Analyzing the National Postsecondary Student Aid Study (NPSAS), a federal survey, Preston Cooper, who holds a PhD in economics, shows that the published price of college, known as the sticker price, nearly tripled from $7,841 in 1990 to $21,588 in 2020 (Cooper, 2025). Many low-income students instead pay a net price, defined as the sticker price minus grants (Cooper, 2025). Thus, affordability depends on how much financial aid institutions can provide to economically disadvantaged students. Forbes Advisor's Hanneh Bareham cites College Board data, a education nonprofit organization, showing that sticker price growth has slowed over the past decade, with public four-year tuition rising less than 1% after inflation (Bareham, 2026). However, slower growth has not ensured aid reaches students: colleges can absorb new aid and offset price limits by raising tuition or cutting their own grants. Aid may therefore work best when it targets the lowest-income students, whose aid leaves colleges little to capture. This raises the question, "How should the U.S. government address the rising cost of college education?"

Who Captures Federal Aid

This battle over who keeps financial aid began in 1987, when Secretary of Education William Bennett argued that increased aid enabled colleges to freely raise tuition, a claim known as the Bennett hypothesis (Gordon & Hedlund, 2022). Colleges capture aid by raising tuition or shrinking their own scholarships, so new aid does not lower what students pay. Cooper (2025) finds that from 1990 to 2020, Pell Grants grew enough to cover most sticker price increases; had colleges held prices steady, public four-year net tuition would be near zero. Instead, additional

aid funded higher prices. Comparing NPSAS students just above and below the Pell eligibility cutoff, Brent Evans and Tuan Nguyen, who hold PhDs in education policy, identify another form of capture: at two-year colleges, Pell eligibility increased total aid by only $156 because colleges reduced their own grants (Evans & Nguyen, 2019). Since these patterns cannot prove that aid causes higher tuition, Federal Reserve Bank of Richmond economists Grey Gordon and Aaron Hedlund built a simulation comparing actual tuition since 1987 with a scenario in which federal loan limits never rose. The model estimates that before Congress raised student loan limits in 1993 and 2007, each $1 of added borrowing raised tuition by $0.10, but afterward the effect fell near $0 since students could already borrow enough, suggesting Bennett was correct only in certain periods of time (Gordon & Hedlund, 2022). Testing the hypothesis with observed data, Larry Singell and Joe Stone, who hold PhDs in economics, analyzed 1,554 four-year colleges from 1989 to 1996, finding that private tuition rose about $863 per $1,000 increase in Pell, and out-of-state public tuition rose about $804 per $1,000, while in-state public tuition showed no significant effect, likely because of state oversight. Although outdated, it remains one of the few large tests separating these tuition types (Singell & Stone, 2007). Together, Gordon and Hedlund (2022) show that capture depends on when aid is added, while Singell and Stone (2007) clarify that it also depends on who sets the price, showing that capture is strongest when colleges control prices and student borrowing is limited, and weakest when states set prices.

Why Price Controls Fail

Lois Miller and Minseon Park, who hold PhDs in economics, show that when prices are capped, colleges recover lost revenue by cutting their own aid. Comparing regulated and unregulated public colleges using federal Integrated Postsecondary Education Data System (IPEDS) data from 1990 to 2013, they found that at four-year colleges, freezes and caps lowered sticker price by 6.3% while institutional aid fell 11.3%, nearly twice as much (Miller & Park,

2022). Since institutional grants largely go to low-income students, freezes can hurt the students they aim to help. Jennifer Delaney and Tyler Kearney, who hold PhDs in higher education, find the same revenue protection when tuition is guaranteed rather than capped. Using IPEDS data from 2000 to 2012, they compared 11 Illinois colleges with 382 in other states before and after Illinois' 2003 "Truth-in-Tuition" legislation, which froze tuition for each incoming in-state student for four years. Unable to raise tuition with inflation, colleges frontloaded it: annual tuition rose 26-30% above trend, and four-year total tuition rose 6-7% above trend (Delaney & Kearney, 2015). Together, these studies show that price controls do not remove costs but instead relocate them: while Miller and Park (2022) found that caps shift the burden to high-need students through lost aid, Delaney and Kearney (2015) found that tuition guarantees shifts to students by enrolling them at higher starting tuition prices. Since colleges recover lost revenue through whatever means regulation leaves open, policies should target net price, not sticker price.

Targeting Pell Grants

Since colleges offset price controls by recovering revenue elsewhere, a stronger approach may aid they cannot capture. Phillip Levine, specializing in economics with a PhD, tested the most debated version of this idea: doubling Pell. Levine simulated what low-income students would pay by entering federal survey data using net price calculators from 200 randomly sampled colleges. He finds that a student with a $0 Expected Family Contribution (EFC), the amount the federal government estimates a family can pay, can afford about $8,000 in federal loans and personal income, yet public flagships charge $12,100 (Levine, 2021). Assuming tuition prices are constant, doubling Pell from $6,345 to $12,690 could close this gap. In a peer-reviewed study of 577,636 Wisconsin Free Application for Federal Student Aid (FAFSA) filings, Drew Anderson, an economist at the RAND Corporation, a nonprofit public-policy

research organization, further analyzes the affordability of college tuition and found that receiving the Wisconsin Grant raised degree completion by 1.5% from a 17.5% baseline, with the largest effects on economically disadvantaged students (Anderson, 2020). Since Pell already covered their tuition, the aid went toward living costs, leaving colleges little to capture. However, Catharine Hill, a PhD economist, complicates this argument by using a college-budget model to show that the effect also depends on the type of college. At wealthy colleges that meet 100% of their students' financial need, extra Pell replaces the school's own aid, while at underfunded colleges it reduces students' work and debt (Hill, 2021). Furthermore, while Hill shows that where aid goes matters, Elizabeth Burland, who holds a PhD in public policy, shows that how aid is promised matters too. In a pre-registered randomized experiment, Burland assigned 1,796 high-achieving, low-income seniors to an upfront free-tuition guarantee at the University of Michigan. The offer raised low-income enrollment from 17% to 26%, while the same promise had no effect when students first had to prove need through aid forms (Burland et al., 2022). Together, Levine (2021) and Anderson (2020) illustrate that targeted aid closes the financial gap for lowest-income students, while Hill (2021) explains that these efforts work only where colleges cannot substitute it for their own aid, and Burland et al. (2022) show that it works best when guaranteed upfront. In conversation, these sources suggest that who receives aid and how it is promised matter more than the amount given.

Conclusion

Many U.S. government strategies struggle to address rising college costs because colleges protect their revenue through tuition increases and grant cuts. Traditional price controls and tuition freezes tend to fail as colleges find ways to shift costs back to students. However, the studies found that aid is least likely to be captured when it targets $0 EFC students and is guaranteed upfront instead of after students prove need. However, evaluating the national

applicability of these free-tuition guarantees remains limited because existing research only tested high-achieving students at one selective university, so their effect at community colleges remains untested.

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